THE SKILL DEVELOPMENT CELL
MOTILAL NEHRU COLLEGE, DELHI UNIVERSITY

PRESENTS

Verdict 2.0

CASE PROBLEM :

HarvestBox: *Growing Without Burning Out*

1. Company Background

HarvestBox is an Indian **subscription-based meal-kit company** founded in 2019. Customers receive **pre-portioned ingredients** and recipe cards to prepare 3 dinners per week, delivered to their homes.

The company currently operates in **five major Indian cities**, with one fulfilment centre in each.

Current Snapshot

- **Active subscribers:** 62,000
- **Average order value:** ₹5,200 per box
- **Employees:** 410
- **Cash available:** ₹15 crore
- **2025 Revenue:** ₹42 crore
- **2025 EBITDA loss:** ₹9.2 crore
- **Social media followers:** 3.8 lakh

Despite strong revenue growth, HarvestBox has never achieved profitability.

Investors have indicated that another funding round will depend on a credible path to profitability within 24 months. The company is also already available on major quick-commerce platforms, providing customers with an additional channel to purchase HarvestBox products.

2. The Problem

HarvestBox is facing three major challenges.

A. Poor Customer Retention

Time After Sign-up	Customers Still Active
Month 1	100%
Month 3	55%
Month 6	34%
Month 12	19%

Why Customers Leave

Reason	Share
Too rigid / difficult to skip	34%
Too expensive	27%
Menu becomes repetitive	18%
Food waste / portion issues	11%
Delivery problems	10%

Customers who stay beyond six months rate HarvestBox **4.6/5.**

B. Weak Unit Economics

Metric	Current
Average order value	₹5,200
Gross profit per box	₹1,600
Customer acquisition cost	₹7,000
Lifetime boxes/customer	6.8
Lifetime gross profit/customer	~₹10,900
LTV/CAC	~1.55x
Healthy benchmark	3.0x

HarvestBox is spending heavily to acquire customers who do not stay long enough to generate attractive returns.

C. Falling Profitability

Year	Revenue	Gross Margin	Marketing % of Revenue	EBITDA Margin
2022	₹19 Cr	38%	22%	-12%
2023	₹29 Cr	36%	25%	-15%
2024	₹38 Cr	33%	28%	-19%
2025	₹42 Cr	31%	30%	-22%

Revenue continues to grow, but margins are declining and losses are increasing. The company currently burns approximately **₹9.2 crore annually.**

3. Market Situation

The Indian convenience-food market is changing rapidly.

Segment	Approx. Annual Growth	Typical Price
Meal Kits	8%	₹350–₹650/meal
Ready-to-Eat Meals	15%	₹250–₹450/meal

Two major supermarket chains have launched private-label meal kits at around ₹3,500 per box, compared with HarvestBox's ₹5,200.
Customer research shows increasing demand for:

- Convenience
- Flexibility
- Variety
- Ready-to-eat options
- Better value for money

4. Strategic Options

The Board can fund **only ONE major initiative** over the next 12 months.

Proposal A — Fix the Subscription Experience

Make HarvestBox more flexible by allowing customers to:

- Skip or pause orders without penalty
- Choose 2 or 4 meals
- Swap recipes
- Access a larger menu
- Refer friends and earn rewards

Investment: ₹1.8 crore
Expected impact: 3-month retention could improve from 55% to 65%.
Main risk: Customers may use flexibility to order less frequently.

Proposal B — Enter Grocery Retail

Sell HarvestBox meal kits through approximately **800 supermarkets** across India.

Investment: ₹1.3 crore
Year-1 incremental revenue: ₹8 crore
Expected gross margin: 22%

Main risks:
- Lower margins
- Retailer margins
- Competition from ₹3,500 private-label kits
- Potential brand dilution

Proposal C — Launch Ready-to-Eat Meals

Launch chilled, ready-to-heat meals through the existing HarvestBox app and subscription network.

Investment: ₹5 crore
Year-1 incremental revenue: ₹6 crore
Expected gross margin: 45%

The ready-to-eat market is growing at approximately **15% annually**.
Management expects around **10% of ready-to-eat sales to cannibalise existing meal-kit sales**.

Main risks:
- High upfront investment
- Food-safety and cold-chain challenges
- Operational complexity
- Significant cash requirement

5. Additional Company Data

- **Fulfilment-centre utilisation:** 68%
- **Food waste:** 6% of ingredient purchases
- **Annual head-office lease:** ₹1 crore
- **Website traffic:** 14 lakh visits/month
- **Website-to-first-order conversion:** 2.8%
- **Active subscribers:** 62,000

6. Your Deliverables

As HarvestBox's consulting team, develop a **24-month strategy** for the company covering:

1. Diagnosis & Evaluation
Identify the core problems and compare all three proposals on **growth, profitability, cash requirements and risk**.

2. Strategic Recommendation
Select **one major initiative** and clearly justify why it is the best choice for HarvestBox.

3. Financial & Risk Case
Show the expected impact on **revenue, margins, EBITDA, cash and customer retention**, along with key risks and mitigation strategies.

4. 90-Day Action Plan & KPIs
Provide a practical **90-day implementation roadmap** and recommend **5–7 KPIs** that the Board should track.

Important Constraint

HarvestBox has only ₹15 crore in cash and can fund only ONE major initiative in the next 12 months.
Teams may recommend smaller operational improvements alongside their chosen initiative, but must explain how these fit within the company's financial constraints.
Teams may make reasonable assumptions, but **all major assumptions must be clearly stated and justified.**

Final Rules & Guidelines

- **Slide Limit:** The main presentation must contain a maximum of **4 slides**, excluding the Thank You slide and up to 4 Appendix slides. Teams are expected to present their analysis in a concise and structured manner.

- **Submission:** The final presentation must be submitted in **PDF format** on Unstop. The file must be named **TeamName_CollegeName.pdf**. In case of any technical issues with the Unstop submission, teams may email their case solutions to **skill@mln.du.ac.in**

- **One Major Initiative:** Teams must select only one of the three proposals as their primary strategy. Smaller operational improvements may be recommended alongside it.

- **Assumptions & Financial Discipline:** Teams may make reasonable assumptions, but must clearly state and justify them. All recommendations must remain realistic within the company's ₹15 crore cash position.

- **Presentation & Judge's Decision:** The presentation must not exceed **7 minutes**, followed by a **3-minute cross-questioning session.** All team members should participate meaningfully. **The judge's decision will be final and binding.**

ALL THE BEST !!!

See you all at THE VERDICT !